

Sources & Methods: System of National Accounts (SNA 2008)

GOVERNMENT OF INDIA

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CHAPTER 1: MACROECONOMIC CONCEPTS, DEFINITIONS AND PRODUCTION BOUNDARY

1. The SNA 2008 Framework in India

The compilation of National Accounts in India conforms to the recommendations of the United Nations System of National Accounts 2008 (SNA 2008).

Headline growth of the economy is measured by Gross Domestic Product (GDP) at constant market prices, while sectoral economic performance is tracked through Gross Value Added (GVA) at basic prices.

2. Production Boundary and Valuation of Output

Output is valued at Basic Prices:

- **Basic Price:** The amount receivable by the producer from the purchaser for a unit of a good or service produced as output, minus any tax payable, and plus any subsidy receivable on that unit as a consequence of its production or sale. It excludes any transport charges invoiced separately by the producer.

3. Difference between GVA and GDP

The fundamental accounting identity connects Gross Value Added (GVA) at basic prices with Gross Domestic Product (GDP) at market prices:

$$\text{GDP at Market Prices} = \text{GVA at Basic Prices} + \text{Net Taxes on Products}$$

Where:

$$\text{Net Taxes on Products} = \text{Product Taxes} - \text{Product Subsidies}$$

Distinction between Product Taxes and Production Taxes:

- **Production Taxes / Subsidies:** Paid or received on the production activity itself, independent of the quantity or volume of goods and services produced.

Examples of Production Taxes: Land revenue, stamp duties, registration fees, municipal taxes on factories, professional tax.

Examples of Production Subsidies: Subsidies to railways, input subsidies to farmers, interest subsidies.

- **Product Taxes / Subsidies:** Directly levied or granted per unit of good or service produced or transacted.

Examples of Product Taxes: Goods and Services Tax (GST), central excise duties, custom duties, sales tax, service tax.

Examples of Product Subsidies: Food subsidies (NFSA), petroleum subsidy, fertilizer subsidy.

4. Supply and Use Tables (SUT)

Supply and Use Tables provide a comprehensive reconciliation of the economy at a detailed commodity and industry level.

- Supply Table: Demonstrates the supply of goods and services from domestic production and imports at basic prices and purchasers' prices.
- Use Table: Demonstrates the intermediate consumption and final disposition of goods and services across Government Final Consumption Expenditure (GFCE), Private Final Consumption Expenditure (PFCE), Gross Capital Formation (GCF), and Exports.

Reconciling SUT guarantees that statistical discrepancies between the production approach and the expenditure approach of GDP are minimized.